WAVERLEY GATEWAY GUIDE

Connecting International Capital

FINLAND

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Helsinki capital region	Capital and largest economy; seat of government, the Bank of Finland and most international firms, with a deep pool of technology and engineering talent	Software, fintech, health technology, professional services
Espoo	Home to Nokia, the VTT research centre and the LUMI AI Factory, with VTT offering companies access to its superconducting quantum computer	Telecoms, AI, quantum technology, R&D
Vaasa (west coast)	Energy-technology cluster and site of FCDC's planned €8 billion data-centre project	Data centres, energy technology, electrification
Oulu and northern Ostrobothnia	Technology and university city where Meta is building a data centre and Hy2Gen is developing e-methanol production	Data centres, hydrogen and e-fuels, ICT
Porvoo	Site of Neste's refinery, one of five Finnish projects that secured €300 million from the EU Innovation Fund	Renewable fuels, circular chemicals, refining
Kemi and Lapland	Forest-industry and mining region where Metsä Spring is planning a 100,000-tonne textile-fibre plant	Bioproducts, pulp, mining, wind power
Joensuu and eastern Finland	Regional centre where P2X Solutions is developing green hydrogen; the land border with Russia is closed to traffic	Hydrogen, wood products, renewable energy

INVESTOR ENTRY ROUTES

- Business Finland, the government's trade, innovation and investment agency, provides free support to foreign investors through its Invest in Finland services and funds R&D and innovation
- A clean-transition investment tax credit, under which Business Finland has awarded €2 billion in credits to 37 projects, and a planned 10-year tax refund scheme for data centres
- A 20% corporate income tax, which the government's 2027 budget proposal cuts to 18%
- Euro-area membership: the euro is the national currency, with free capital movement under EU rules and monetary policy set by the European Central Bank
- EU single-market and Schengen membership, giving free movement of goods, services, capital and people and access to all EU trade agreements

- NATO membership and a defence budget rising from 2.5% of GDP in 2025 to 3.2% by 2030, opening routes for defence and dual-use suppliers
- A large green-industry pipeline in wind power, hydrogen, data centres and bioproducts, creating supply-chain and partnership routes for international investors

MARKET-ENTRY OBSERVATION

Finland in November 2026 offers investors a stable, highly skilled euro-area economy that is recovering steadily and attracting record clean-energy investment. GDP grew 0.5% quarter-on-quarter in the third quarter of 2026, the fourth consecutive quarter of expansion, and 1.8% year-on-year, the strongest annual growth since late 2024. The Bank of Finland forecasts growth of 1.7% in 2026 and 1.6% in 2027, led by exports and investment. Foreign investors made a net €8.4 billion of direct investment in 2025, lifting the inward stock to €92.5 billion, with Sweden, the United States and Luxembourg the largest ultimate investors, and Business Finland recorded 527 foreign investment projects, 160 more than the year before. The Confederation of Finnish Industries reports a record €8 billion of green-transition investment completed in 2025, with about €24 billion of new projects launched, led by data centres and hydrogen.

Finland's main structural challenge is restoring its public finances while unemployment remains high. The general government deficit was 3.4% of GDP in 2025 and debt reached 88.5% of GDP, and the EU opened an excessive deficit procedure in January 2026, with a 2028 deadline to bring the deficit below 3%. Unemployment stood at 10.4% in September 2026, while defence spending is rising from 2.5% of GDP in 2025 to 3.2% by 2030 following NATO accession. The response is clear and credible: the government is combining spending cuts with growth measures, including the proposed cut in corporate tax to 18% and incentives for clean industry and data centres. Inflation of 2.5% in September is moderate, rapid growth in wind power supports energy-intensive investment, and the parliamentary election on 18 April 2027 will set the next phase of policy.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public finances and the EU excessive deficit procedure	The deficit was 3.4% of GDP in 2025 and debt 88.5%, and the EU has set a 2028 deadline for correction, so further spending cuts and tax changes are likely	The EU framework anchors consolidation; model possible tax changes and note that the government has prioritised lower corporate tax
High unemployment and slow domestic demand	Unemployment reached 10.4% in September 2026, weighing on consumer spending	Recovery is under way and labour availability is good; exporters and investment-led projects benefit most
Russian border and sanctions	Finland's land border with Russia has been closed to traffic until further notice, and EU sanctions on Russia apply in full	Take sanctions and export-control advice for any Russia-linked trade; NATO membership and EU rules provide a secure base
Energy prices	Higher energy prices linked to the Middle East conflict lifted inflation to 2.5% in September 2026	The Bank of Finland expects inflation to ease to 1.4% in 2027; long-term power contracts from Finnish wind projects can fix costs
Interest-rate environment	The ECB raised its deposit facility rate to 2.50% in 2026, increasing financing costs for projects	The Bank of Finland forecasts lower inflation in 2027; hedge rate exposure and use EU and EIB financing where available
Grid and permitting capacity for large projects	Nearly 80 data centres and many wind and hydrogen projects are competing for grid connections and permits	Engage the grid operator and municipalities early; secure sites with existing connections
Election in April 2027	The parliamentary election on 18 April 2027 could change fiscal and tax priorities	Broad political consensus on NATO, defence and the clean transition supports continuity; monitor party programmes

INVESTOR RISK NOTE

Finland's risk profile is that of a stable, well-governed EU, euro-area and NATO member with strong institutions, a skilled workforce and a fast-growing clean-energy sector. The economy has expanded for four consecutive quarters, inflation is moderate and investment in data centres, hydrogen and wind power is at record levels. The main near-term issue is fiscal: the deficit of 3.4% of GDP in 2025 has placed Finland under an EU excessive deficit procedure, and debt of 88.5% of GDP and rising defence spending mean continued consolidation, though the government has protected growth measures such as the proposed corporate tax cut. Finland's land border with Russia is closed to traffic and EU sanctions on Russia apply in full, so investors should take sanctions and export-control advice for any Russia-related business; for all other activity, Finland offers the legal certainty of EU law and the convenience of the euro.

MARKET ACCESS

As a member of the EU, Finland gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Euro membership removes exchange-rate costs with euro-area partners, and Schengen membership allows passport-free travel. Sweden is Finland's largest investor and a key trading partner, and Finland's Baltic Sea ports connect it by sea with Sweden, Estonia, Germany and wider European markets. The country's position at the heart of the Nordic-Baltic region, alongside its NATO membership, makes it a growing base for defence, energy and digital-infrastructure supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (Prime Minister Petteri Orpo)	Leads the coalition government, which sets economic, fiscal and reform policy ahead of the April 2027 election	Primary reference point for Finland's strategic direction and major projects
Business Finland	National trade, innovation and investment agency; provides Invest in Finland services and administers innovation funding and clean-transition tax credits	Standard first point of contact for market entry and incentives
Bank of Finland (Governor Olli Rehn)	Member of the Eurosystem whose governor sits on the ECB Governing Council; publishes the national economic forecast	Relevant for macroeconomic outlook, banking and payments
Ministry of Finance (Minister Riikka Purra)	Leads the budget, tax policy and the response to the EU excessive deficit procedure	Key counterpart on tax, fiscal and public-finance matters
Ministry of Economic Affairs and Employment	Oversees industrial, energy and labour policy, including the framework for energy and industrial investment	Relevant for energy projects, permits and incentives
Ministry of Defence	Manages a defence budget rising to 3.2% of GDP by 2030	Counterpart for defence and dual-use suppliers
Confederation of Finnish Industries (EK)	Leading employers' organisation, which tracks the green-transition investment pipeline	Useful source of market intelligence and introductions to Finnish industry

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Finland Chamber of Commerce and its regional chambers, the Confederation of Finnish Industries and bilateral bodies such as the American Chamber of Commerce in Finland and the Finnish-British Chamber of Commerce are the main business networks. Business Finland organises investor programmes and represents Finland at international forums, while VTT, the state research centre, offers partnerships in AI, quantum and industrial technology. The European Investment Bank, which backed Finland with €1.6 billion in 2025, and the EU Innovation Fund co-finance energy, industrial and infrastructure projects. Embassies of major EU partners and the United States maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Finland suits investors seeking a secure, well-governed base in the EU and the euro area with a fast-growing clean-energy sector: data-centre and AI infrastructure investors drawn by clean power and planned tax refunds; energy investors in onshore wind, storage and hydrogen; industrial and bioproduct investors in forestry-based materials and renewable fuels; technology companies in telecoms, quantum, and health technology; and defence and dual-use suppliers serving a growing NATO budget. Investors with any Russia-linked activity should take sanctions advice before engagement.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Business Finland and assess incentives
Open dialogue with Business Finland's Invest in Finland team to test eligibility for innovation funding, clean-transition tax credits and data-centre incentives.

STEP 2: Secure sites, grid connections and permits early
Work with municipalities and the grid operator to identify sites with available power and a clear permitting path.

STEP 3: Map EU and DFI co-financing
Identify EU Innovation Fund and European Investment Bank financing for energy, industrial or digital components of a project.

STEP 4: Plan for fiscal and political developments
Track the 2027 budget, the corporate tax cut and excessive deficit procedure measures, and the April 2027 election when modelling returns.

STEP 5: Screen counterparts for sanctions exposure
Take sanctions and export-control advice for any counterparts or supply chains with links to Russia, and confirm any sector-specific approvals early.